

Privatopia and Local Government:

Comparison between Role of Homeowners Associations (HOA) in the United States and Apartment Complex Community in South Korea

1. Introduction

The concept of "privatopia," a privatized community governance model, has grown significantly in both South Korea and the United States. South Korea's apartment complexes and HOAs (Home Owners Associations) in the United States serve as microcosms of private governance, influencing the dynamism of residents' daily lives and interactions with local governments. This paper compares these two systems, focusing on their historical origins, operational structures, and socio-political implications. The study aims to identify the scope of these private communities' role in delivering services and analyze relationship with local governments employing a comparative analysis between the two countries.

2. History of Private Community in the United States

2.1 Garden City

The beginning of private community goes back to the idea of Garden City. The Garden City concept is a pioneering urban planning model developed by British social reformer Ebenezer Howard in 1898, detailed in his book *Garden Cities of To-morrow* (1902). His idea was to have community-based autonomy and "a new form of settlement where everyone could enjoy fresh air and open space, alongside the opportunities for jobs and amenities found in cities."

(Garden Cities Institute, n.d). His proposal can be described as democratically controlled corporate technocracy (McKenzie, 1994). Early versions of this governance resembled corporate technocracies where departments handled various municipal needs.

In Garden City, renters elect the heads of various practical departments grouped under general headings and their chairmen and vice chairmen of these departments would constitute central council, which would be the governing body of the city (McKenzie, 1994). McKenzie describes that the city's constitution resembled a charter of business corporation rather than a government document.

However, Howard's idea of Garden City evolved into private centered missing some of concepts of renting and community land trust ideas. In 1920s, CID (Common Interest Development) which was a form of private housing community developments (McKenzie, 1994).

2.2 Growth of Private Community Housing

The Great Depression and World War II significantly curtailed new housing construction in the United States. However, the pent-up demand during this period led to an unprecedented postwar housing boom. Large developers began creating more complex residential developments with private governments. In 1944, the developers worked on legal establishments to standardize and institutionalize this type of housing. The Urban Land Institute formed a Community Builder's Council in 1944, providing a foundation for the growth of CIDs.

By the 1960s, real estate development was dominated by large-scale corporate builders. While the number of homeowners' associations (HOAs) was modest with fewer than 500 nationwide in 1962. Still, the dominant form of housing was middle-class housing in suburbs with large individual lots. The CID movement gained momentum during the new town boom of the 1960s, exemplified by developments like Rancho Bernardo in California, marking the transition to a more organized and privatized housing model (McKenzie,1994).

Beginning in the mid of 1970s, local governments that were financially deprived found CID housings helpful as they had private infrastructure and facilities that could reduce and save the public cost. Furthermore, these type of housings could gather tax payers and grow communities with private developments. These private initiatives in housing policy, coupled with government validation, led to astonishing nationwide growth in CID construction. The number of CIDs rose from fewer than 500 in the early 1960s to 10,000 by 1970, 20,000 by 1975, 55,000 by 1980, 150,000 by 1990, and 225,000 by the 2000s. By 2017, the United States had approximately 344,500 CIDs, encompassing 26.6 million housing units and home to around 70 million residents (McKenzie,1994). Florida and California were the states that such housing developments were concentrated and in the suburbs across the United States.

3. History of Private Community in South Korea

In the 1960s, Seoul faced a severe housing shortage. Among the various types of single-family and multi-family housing, apartments were deemed the most effective housing type, as they could be rapidly and efficiently mass-produced using standardized construction techniques on limited land.

The Mapo Apartment Complex, built in 1964 with 642 households in ten six-story buildings, played a significant role in establishing a model of modern apartment housing that became widespread afterward. As shown in the image, the apartment complex was designed as an independent and self-governing community with shared facilities. It was distinctly zoned and disconnected from the surrounding environment and nearby villages. This type of apartment complex, featuring multiple buildings as exemplified by Mapo Apartments, became the norm in South Korea for developing high-density housing.

Initiated by the Mapo Apartment complex construction and plan, Seoul continuously built the same type of housing finally covering the land with a landscape of high-rise apartment blocks that surrounded every corner of the city. It had an impact on forming the perception of housing for Korean people which is a modern and ideal form of living. Park's government promoted the Mapo Apartment complex as an ideal and modern way of living to make it a successful project.



Mapo Apartment (1964) (Kyung Hyang, 2024)

The middle class in the 1960s to 1970s was a major driver of economic growth in business and industry of modernizing South Korea such as trained labor, office workers, civil servants, and businessmen (Valérie, 2007). This group, the main driver and beneficiary of growth, achieved wealth accumulation over a short period by buying and selling apartments. Becoming a symbol of the middle class, the apartment complex as a private community became popular

Since the industrialization process began after the 1960s, single-family homes across South Korea have largely disappeared, giving way to apartment-dominated residential areas. Currently, 61% of residents live in apartments, making South Korea the world's largest

"apartment republic." The number of apartments skyrocketed from 373,000 units in 1980 to 11.46 million units in 2022, an astonishing 3,072% increase (Statistics Korea, 2023).

4. Private Governance in Apartment Complex Community

The private form of governance in apartment complex housing naturally appeared with a need to manage and clarify the rights of residents in the community. In 1981, it became mandatory for apartment complexes to have directly elected representatives with implementation of past Acts related housing management. However, it became official to form a ‘Council of Occupants Representatives (입주자대표회의)’ as the Multi-Family Housing Management Ordinance was amended to Multi-Family Housing Management Act in 1997. Therefore, the Council of Occupants Representatives is recognized as an official legal body defined by the law.

In South Korea, apartment complexes with more than 300 households are legally required to establish and operate a Council of Occupants Representatives. This mandate is outlined in the Multi-Family Housing Management Act defining that multi-family housing over 300 households, must have professional management personnel and self-governing decision-making bodies which is the Council of Occupants Representatives. As of now, there are approximately 18,377 Councils in apartment complexes across South Korea (Citizen Autonomy News, 2023).

The Council decides on the budget and execution of apartment management expenses, maintenance of public facilities, and supervision of the management office and revision of management rules (관리규약) (Citizen Autonomy News, 2023). The Council is consist of

members who are elected by the residents including occupants (owners) and users (non-owners). The terms of defining residents can be divided into “occupant” and “users”: According to Multi-Family Housing Management Act (2017), the term "occupant" means an owner of multi-family housing and the “user” means a person who leases and uses multi-family housing. These two terms are drawn boundaries between the property ownership. For convenience, this paper will refer to “resident” as a group of occupants and users of communities.

While the Council of Occupants Representatives is legally defined in the Act, however, the Residents Assembly which consists of all occupants and users, is not defined in the Act. The Resident Assembly plays the role of discussing agendas of usage of fees, and issues in the community in a total voluntary process. One of the biggest role of residents and Resident Assembly is electing ‘Representatives of each building (동대표)’. The Act defines the eligibility of candidates and here occupants and users both are accepted as nominees, however, occupants have the priority as a final candidate (Korea Legislation Research Institute, 2017).

Electing Representatives of each building is one of the most important processes that is a factor in creating the basic conditions for becoming a private government. The primary purpose of having a Representative of each building is to make a voice on behalf of the residents of the building in the Council of Occupants Representative meetings. The process has its fundamental in the democratic process and self-governance with the grassroots decision-making process. Recent research papers noted the improvement in Representative election and eligibility of candidates equal rights to the users (who was the second priority as candidates) as the users also have some experience in the community (Choi, Lee, 2024).

In the Council, these elected Representatives of each building gather and discuss as an official legal body to decide on managing the community as a whole. Some of the agendas start from deciding on outsourcing companies for a certain service or even landscape design of the complex. As the Act also defines, the political unit in the Korean Apartment Complex is based on a building unit.

Therefore, the Assembly is a type of voluntary governance that is not enforced legally but plays an important role in electing the representatives who form the legal body, the Council of Occupants Representatives.

5. Providing services as a Private Government

Encyclopedia of Energy (2004) defines *“local governments serve as the front-line authorities for the provision of local law enforcement, fire, public safety, environmental response, public health, and emergency medical services for all types of hazards (natural and human-made) and emergencies. They generally coordinate resources and capabilities with other entities (including neighboring local governments, nongovernmental organizations, their state government, and the private sector) during such events”*. Additionally, infrastructure such as roads and streets are also constructed and managed at local government level if they are owned by (Federal Highway Administration, n.d).

5.1 Role, Service and Fee of HOA

A homeowners association (HOA) is an organization within a subdivision, planned community, or condominium building responsible for creating and enforcing rules for the properties and residents. Managed by a board of directors, HOAs generally collect monthly or annual fees to fund the maintenance of common areas and facilities. Anyone who buys property within the HOA's jurisdiction automatically becomes a member (Investopedia, 2024)

According to Investopedia (2024), the rules are described as restrictive covenants in a document called a Declaration of Covenants, Conditions, and Restrictions (CC&Rs). Restrictive Covenants play a core role in managing the community with enforcement in all households. The covenants include a variety of rules or restrictions even details as to regulate the color of curtains and type of plants to be displayed on the terrace (McKenzie, 1997). The covenants consider protecting the property by restricting its way of use and alteration even if the property is owned by the resident.

5.2 Role, Service, and Fee of Apartment Complex in South Korea

On average, management fee in South Korea ranges from 200,000 KRW (\$140) to 300,000 KRW (\$210) per month in the most recent currency (1 USD = 1433.77 KRW as a date of Dec 13th, 2024) according to Jose Ilbo (2023). The fee differs on average depending on the region and apartment buildings.

The Multi-Family Housing Act specifies the services included in the fee. The management fee includes general management services such as cleaning, garbage pick up,

security, facility maintenance, and heating/ cooling services. Long-term repair fees such as exterior painting and safety surveys are collected separately from the management fee. Additionally, the usage of electricity and gas is collected based on individual household units. The management fees are invoiced to each household next month after calculating the sum of the actual cost of the apartment community. Therefore, the management fee is not fixed but changes according to the actual cost occurred in the previous month.

In contrast, HOAs in the United States are usually fixed annually, or quarterly. HOAs impose additional fee if there is any unexpected. HOA is ran by the HOA fees collected from each housing unit ranging from \$200 to \$400 per month (Investopedia, 2024). The luxurious condominiums HOA fees can reach up to \$10,000 per month. HOA fees are used to cover the costs of maintaining and managing common areas and shared amenities within a community or building. HOA fees also contribute to the association's reserve fund, which is allocated for major renovation projects or emergency situations. In addition to regular fees, HOAs may impose special assessments on homeowners if the reserve fund is insufficient to cover unexpected repairs in common areas, such as sidewalks or parking lots (Investopedia, 2024).

6. Role as Local Governments

In both countries, a form of private government arose with the need to manage the property with designated community rules for communal residence. One of the most important reasons for having these forms of private government is to decide on the rules for the community and operate with collected fees with budget management.

Both of Apartment Complex community and HOA partially carry out the role of local government. To highlight, local governments have roles in the provision of law, management of public safety, construction of road networks coordinating resources and budgets. The Council of Occupant Representatives and HOA's Board of Directors both perform these core roles of local government as discussed above. They manage and allocate budgets of fees collected from residents. The fees function as tax in the context of local government with its feature of being used only and within the boundary of each communities. Furthermore, public security is offered within these private housing communities as they designate the company or personnel with their management budget. Finally, the roads and streets are constructed by the HOA and Apartment Complex Community that are inside of the physical boundaries of the community also with their budget.

Both countries have an entity that officially manages through an election, however, the election process differs in the scope of voters. First, HOA also forms the Board of Directors for a Homeowners' Association (HOA). Only the property owners can become members of HOA and the Board of Directors if they are elected.

Elections within a homeowners association (HOA) occur exclusively among its members, meaning only property owners are eligible to vote, and candidates must also be property owners. This underscores the HOA's strict boundaries regarding membership, as renters remain passive recipients of decisions and regulation enforcement. While HOA fees are collected based on residency, regardless of whether one is a property owner or not, the decision-making process is entirely tied to ownership, further distinguishing the roles and rights of property owners from those of renters.

7. Relationship with local government and boundary

As we reviewed the history of CIDs, local governments were in favor of this type of development as it significantly reduced their public cost the CIDs include private facilities such as roads, parks, and recreational facilities. Reducing the burden of public cost, financially strapped local governments found CIDs are efficient in achieving their goals of increasing population and property taxpayers at once. Historically, the growth of private communities is closely related to governments' dependency on the private market. In the private city, Sam Bass Warner Jr (1987) argues that from about the mid-nineteenth century onward the success and failures of American cities have depended upon the unplanned outcomes of the private market.

Governments implicitly supported and encouraged this private governance by permitting CIDs as they reduced the administrative burden on public services. With the endorsement of the Federal Housing Administration (FHA), which provided developers with detailed guidelines for creating condominiums and planned development units (PDUs) eligible for federal mortgage insurance, the real estate industry began promoting common-interest housing for the middle class in the mid-1960s. This model offered shared open spaces owned in common, replacing large private yards (McKenzie, 1997).

The situation is not significantly different in South Korea but it was residents who invested in these private facilities, not the developers. Apartment Complex growth was tied to the needs of state and local governments in achieving their goals of supplying housing for a growing economy. During the period of accelerated growth that began in the 1970s, the middle class, particularly in large cities, grew rapidly, which in turn spurred demand for higher-quality housing and neighborhoods. However, it was challenging for the government, which was

prioritizing export-driven economic growth, to meet the middle class's elevated housing standards in urban areas with extremely weak infrastructure. In this context, apartment complex development emerged as the most effective housing strategy. It allowed for the provision of residential environments equipped with essential amenities such as playgrounds, parking lots, and sports facilities while minimizing public investment in urban infrastructure.

The demand for middle-class housing naturally gravitated toward apartment complexes, as there were no comparable residential environments available. As a result, citizens invested their entire savings into these apartment complexes, while construction companies increasingly engaged in apartment complex development projects. This situation proved to be highly advantageous for the government. By avoiding large-scale infrastructure investment, it was able not only to address the housing supply issue but also to revitalize the construction industry and stimulate economic growth. This relationship between local government and apartment complex development thus exemplifies a mutually beneficial arrangement, where urban housing needs were met while simultaneously advancing broader economic goals (Architecture Newspaper, 2024).

8. Conclusion

In terms of decision-making bodies, autonomous governance, and service provision, both homeowners associations (HOAs) and apartment complexes can be seen as small-scale private governments. The government, in turn, has increasingly preferred this model to reduce costs, concentrate populations, and promote community vitality, with incentives driving the spread of this housing form in both the United States and South Korea. In South Korea, the term

"apartment complex republic" reflects the dominance of this housing model, and in the United States, the number of HOAs has surged. HOA has a stronger restriction and boundary between the renters and owners as a barrier exists for non-owners to participate in the decision-making process of the community.

These types of private community housing increased whether in suburbs or urban, as apartment complex housing and HOAs became more common in both countries. This trend illustrates that private governance, regardless of whether it involves high-rise or low-rise suburban developments, is not influenced by the density of housing, but is closely related to the size of residents and government preferences. It demonstrates that specific housing forms can proliferate nationally through state and local government-level support. While local governments partially delegate their roles to these private entities, creating self-sustaining communities, this structure can weaken connections to the surrounding area and diminish the role of local governments.

One positive aspect, however, is the need to consider how these housing forms can foster democratic self-governance and maintain active connections as one community. It is important for these bodies (the Council of Occupant Representatives and the Board of Directors of HOAs) to avoid dividing residents into owners and non-owners or becoming repressive entities with their power. Instead, they should encourage voluntary participation in community spirit and democratic engagement. Ultimately, it is hoped that these housings can evolve into vibrant, healthy political environments where residents experience and nurture participatory democracy and community life. This vision for self-governance within residential communities should aim not only to provide convenience but also to promote a positive connection to the bigger society.

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